

# LECTURE 13 FEASIBILITY ANALYSIS



# FEASIBILITY ANALYSIS: TESTING AN OPPORTUNITY

## DEVELOPING A BUSINESS CONCEPT

Once you have an idea for a new business, define it by writing a clear and concise **business concept**.



### BUSINESS CONCEPT

- A clear and concise description of a business opportunity; it contains four elements: **the product or service, the customer, the benefit, and the distribution.**
- Its purpose is to focus your thinking.

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## Developing a Business Concept

| Product or Service    | What is being offered? This is the solution to the problem                                                                                                                             |
|-----------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Customer              | Who is it? They pay for the product.                                                                                                                                                   |
| Benefits and Features | <ul style="list-style-type: none"><li>• Benefit- promotes or enhances the value of product.</li><li>• Feature - distinctive aspect, quality, or characteristic of a product.</li></ul> |
| Distribution/Delivery | Retail, wholesales, mail order, Internet, door-to-door?                                                                                                                                |

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## Developing a Business Concept

In developing a business concept, consider the **features** and **benefits** your product or service offers.



### BENEFITS

- Things that promote or enhance the value of a product or a service to the customer.

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## Testing the Concept in the Market

An entrepreneur can use a **feasibility analysis** in order to decide if there is enough demand for a product or service.



### FEASIBILITY ANALYSIS

- The process that tests a business concept; it allows the entrepreneur to decide whether a new business concept has potential.

# FEASIBILITY ANALYSIS: TESTING AN OPPORTUNITY

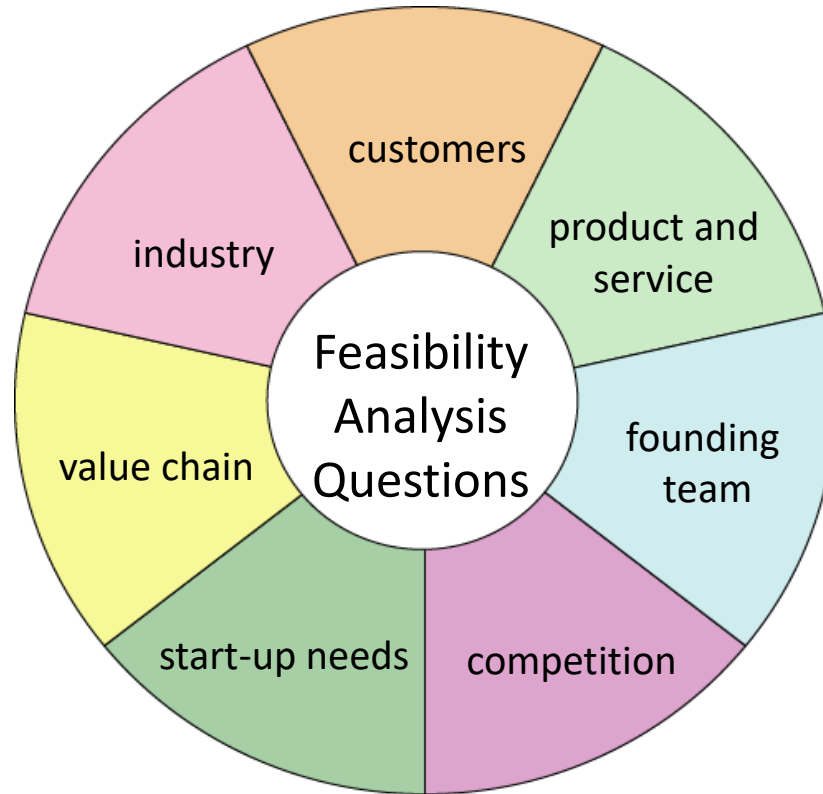
## TESTING THE CONCEPT IN THE MARKET

A feasibility analysis can help an entrepreneur determine whether business conditions are appropriate to go forward with starting a business.



# FEASIBILITY ANALYSIS: TESTING AN OPPORTUNITY

## Testing the Concept in the Market



# FEASIBILITY ANALYSIS: TESTING AN OPPORTUNITY

## Testing the Industry

The broadest level of feasibility analysis looks at the **industry** in which the business will operate.

### INDUSTRY

- A group of businesses with a common interest



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## TALKING TO THE CUSTOMER

The most important part of the feasibility analysis is testing customers to measure interest and identify the **target customers**.

### TARGET CUSTOMERS

- People most likely to buy a business's products and services.

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## TESTING PRODUCT OR SERVICE REQUIREMENTS

To consider all of the requirements of a product or service, create a **prototype**.

### PROTOTYPE

- A working model used by entrepreneurs to determine what it takes to develop their products or services

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## TESTING PRODUCT OR SERVICE REQUIREMENTS

- Need to design prototypes.
- These types of prototypes are not physical, they are designs, blueprints, story boards, or flowcharts that map out the business and the processes that will take place at the business.
- Intellectual Property - protect your prototype through patents, trademarks, copyrights, and trade secrets.

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## STUDYING THE COMPETITION

- An easy way to evaluate the competition is to create a **competitive grid** given in next slide.

### COMPETITIVE GRID

- A tool for organizing important information about a business venture's competition

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## (COMPETITIVE GRID)

| Competitive          | Customer                                     | Benefits                         | Distribution                      | S/W                                                                                   |
|----------------------|----------------------------------------------|----------------------------------|-----------------------------------|---------------------------------------------------------------------------------------|
| Large gyms           | Individuals seeking to improve their fitness | Get fit, convenience             | Direct through retail gym         | S- Resources to enter O2 Max's niche<br>W- no programs for teens                      |
| DVD Fitness Programs | Individuals seeking to exercise at home      | Get fit, Convenience, Save money | Online and offline retail outlets | S-easy to use inexpensive<br>W- no on-site guidance                                   |
| O2 Max Fitness       | Parents                                      | Peace of mind                    | Direct through retail center      | S- teens more likely to stay involved<br>W- costly in terms of building and equipment |

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## LOOKING AT START-UP RESOURCES

A strong **business model** is important to investors.

### BUSINESS MODEL

- A description of how entrepreneurs plan to make money with their business concepts.

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## ANALYZING THE VALUE CHAIN

- A business can create a competitive advantage by improving the **value chain** or its products and services.
- The value chain includes manufacturers, distributors, and retailers.

### VALUE CHAIN

- The distribution channel through which a product or service flows from the producer to the customer.

Thank You